Project Presentations (Block 2)

- Work in small groups of 2–3 people.
- Forecasting exercise: apply methods from class to Swiss data.
- Goals:
  - Design, implement, and critically assess multivariate forecasting models.
  - Gain experience presenting results to technical and policy audiences.
- Each project focuses on one specific forecasting technique.
- Tasks:
  - Understand method and communicate the idea behind.
  - Apply it to Swiss data (know your data).
  - Present and defend your results.

Project Presentations (Reproducibility)

- Reproducibility is essential in both academic research and policy forecasting.
- All code must be made publicly available in our GitHub repository (see project descriptions PDF).
- Each team member must contribute:
  - At least two meaningful commits per person.
  - Demonstrating shared responsibility for the project.
- Deliverables:
  - Slides and reproducible code in the GitHub repo.

Structure of a Good Project Presentation

- Motivation & Question: why does this forecast matter?
- Methodology: chosen model and estimation approach
- Data: variables, frequency, sample period
- Results & Forecast Evaluation: forecasts and assessment (details on next slide)
- Interpretation: economic meaning and intuition
- Takeaways: main findings and policy relevance
- Reproducibility: GitHub repository with code & data

30–45 minutes, focus on clarity and communication – not on every technical detail.

Forecast Expectations

- Each project should present at least:
  - A one-step and one-year ahead point forecast for GDP growth, inflation, and exchange rate.
  - One of the following three extensions
    - Scenario forecast (e.g., conditional on oil prices, exchange rates, or policy).
    - Density forecast (e.g., fan chart).
    - Macroeconomic indicator (e.g., diffusion index).
- Forecast evaluation:
  - Root mean squared errors (RMSE) or mean absolute error (MAE).
  - All models should be compared against an AR(2) benchmark.

Goal: show forecasts, assess their quality, and discuss what we learn from them.

Performance Assessment

- Project Presentation (60% of grade)
  - Group work (2–3 students), reproducibility via Git.
  - Evaluation: methods, results, communication, teamwork.
  - Heavier weight: reflects that the core skills of the course are hands-on implementation and communication of forecasts.
- Final Exam (40% of grade)
  - Duration: 60 minutes.
  - Format: mix of theory questions and short R-based tasks.
  - Focus: individual understanding and interpretation of results.

Project Presentations (Evaluation Criteria)

- Modeling and implementation in R (25%) Correct application of methods.
- Clarity of communication (25%) Well-structured slides; clear delivery; appropriate for both technical and policy audiences.
- Forecast evaluation (20%) Forecast accuracy; comparison with benchmark model.
- Design of extension and economic interpretation (15%) Linking forecasts to policy-relevant questions.
- Reproducibility and teamwork (15%) Public Git repository; meaningful contributions from all members.